

Reports article on the relative thickness and absorbency of the five popular brands of toilet paper? He's trying to figure out whether or not to switch to Charmin. But will he give equal time to reading the annual report of Procter and Gamble, the company that makes the Charmin, before he invests \$5,000 in the stock? Of course not. He'll buy the stock first and later toss the Procter and Gamble annual report into the garbage can.

The Charmin syndrome is a common affliction, but it's easily cured. All you have to do is put as much effort into picking your stocks as you do into buying your groceries. Even if you already own stocks, it's useful to go through the exercise, because it's possible that some of these stocks will not and cannot live up to your expectations for them. That's because there are different kinds of stocks, and there are limits to how each kind can perform. In developing the story you have to make certain initial distinctions.

WHAT'S THE BOTTOM LINE?

Procter and Gamble is a good illustration of what I'm talking about. Remember I mentioned that L'eggs was one of the two most profitable new products of the 1970s. The other was Pampers. Any friend or relative of a baby could have realized how popular Pampers were, and right on the box it says that Pampers are made by Procter and Gamble.

But on the strength of Pampers alone, should you have rushed out to buy the stock? Not if you'd begun to develop the story. Then, in about five minutes, you would have noticed that Procter and Gamble is a huge company and that Pampers sales contribute only a small part of the earnings. Pampers made some difference to Procter and Gamble, but it wasn't nearly as consequential as what L'eggs did for a smaller outfit such as Hanes.

If you're considering a stock on the strength of some specific product that a company makes, the first thing to find out is: What effect will the success of the product have on the company's bottom line? Back in February of 1988, I recall, investors got very enthused about Retin-A, a skin cream made by Johnson & Johnson. Since 1971 this cream had been sold as an acne medicine, but a recent doctors' study suggested it might also fight skin blots and blemishes caused by the sun. The newspapers loved this story, and headline writers called it the anti-aging cream, and the "wrinkle-fighter." You would have thought that Johnson & Johnson had discovered the Fountain of Youth.

So what happens? Johnson & Johnson stock jumps \$8 a share in two days (January 21–22, 1988), which adds \$1.4 billion in extra market value to the company. In all this hoopla the buyers must have forgotten to notice that the previous year's sales of Retin-A brought in only \$30 million a year to Johnson &